

Realizable Value of Assets Varies with Their Character. A company's balance sheet does not convey exact information as to its value in liquidation, but it does supply clues or hints which may prove useful. The first rule in calculating liquidating value is that the liabilities are real but the value of the assets must be questioned. This means that all true liabilities shown on the books must be deducted at their face amount. The value to be ascribed to the assets, however, will vary according to their character. The following schedule indicates fairly well the relative dependability of various types of assets in liquidation.

Type of asset	% of liquidating value to book value	
	Normal range	Rough average
Current assets:		
Cash assets (including securities at market)	100	100
Receivables (less usual reserves)*	75-90	80
Inventories (at lower of cost or market)	50-75	66 ² / ₃
Fixed and miscellaneous assets:		
(Real estate, buildings, machinery, equipment, nonmarketable investments, intangibles, etc.)	1-50	15 (approx.)

* Note: Retail installment accounts must be valued for liquidation at a lower rate. Range about 30 to 60%. Average about 50%.

Calculation Illustrated. The calculation of approximate liquidating value in a specific case is illustrated as follows:

Example: White Motor Company. (See next page.)

Object of This Calculation. In studying this computation it must be borne in mind that our object is not to determine the exact liquidating value of White Motor but merely to form a rough idea of this liquidating value *in order to ascertain whether or not the shares are selling for less than the stockholders could actually take out of the business.* The latter question is answered very definitely in the affirmative. With full allowance for possible error, there was no doubt at all (in 1931) that White Motor would liquidate for a great deal more than \$8 per share, or \$5,200,000 for the company. The striking fact that the cash assets alone considerably exceed this figure, *after deducting all liabilities*, completely clinched the argument on this score.

Current-Asset Value a Rough Measure of Liquidating Value. The estimated values in liquidation as given for White Motor are somewhat lower